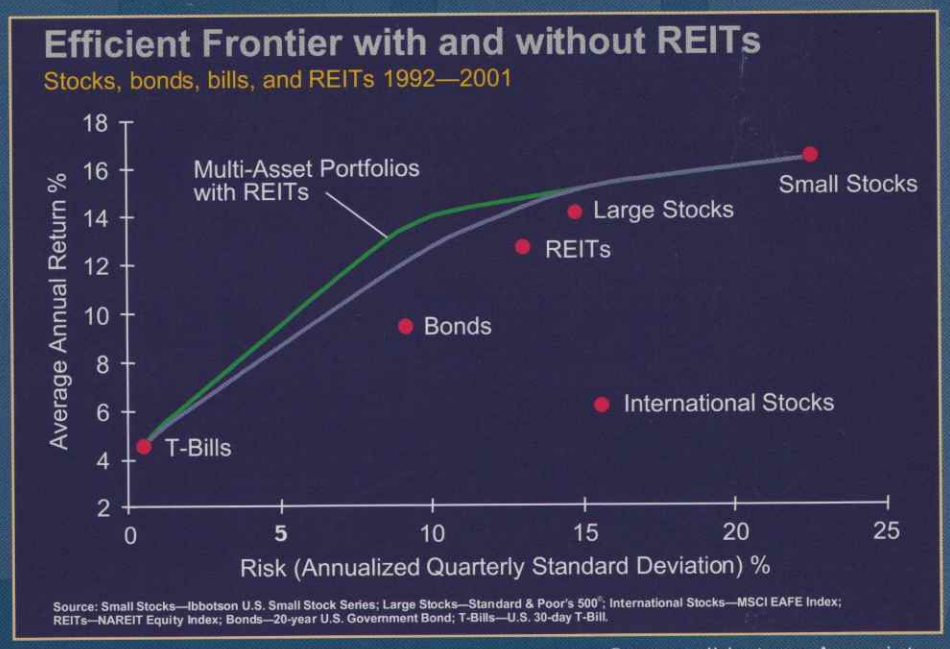
2002 UPDATE

"Real Estate Stocks Provide Meaningful Diversification Benefits"

An updated analysis by Ibbotson Associates found:
REITs raise the efficient frontier when added to diversified portfolios.



Source: Ibbotson Associates

Ibbotson concluded:

- *REITs offer an attractive risk/reward trade-off*
- *The correlation of REIT returns with other investments has declined over the last 30 years*
- *REITs may boost return or reduce risk when added to a diversified portfolio*
- *REITs are worth investigating as an addition to many types of portfolios*

Asset Allocation
Efficient Frontier
Diversification
Return
Risk
Correlation
Real Estate

National Association of Real Estate Investment Trusts®
Changing the Face of Real Estate Investment®

Ibbotson Analysis

Ibbotson Associates – a leading authority on asset allocation – examined the historical investment performance of REIT equity securities. The purpose of their analysis was to determine if investing in real estate stocks provides meaningful benefits in diversified portfolios.

Investing in Diversified Portfolios

- Each type of investment displays unique return characteristics and price volatility
- Diversifying across investments lowers overall portfolio risk
- Correlation measures the extent to which different investment returns move together over time
- Absence of strong correlations among investments increases the return and reduces the risk
- Low to moderate correlation is sufficient to provide portfolio diversification

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1 Ibbotson points out that the correlation of investment returns is important in determining which types of investments should be grouped together in an investment portfolio.

Rates of Return

Compound annual rate in percent

	REITs	Large Stocks	Small Stocks	Bonds
1972—2001	12.5	12.2	14.9	8.9
1982—2001	12.8	15.2	13.8	12.1
1992—2001	11.6	12.9	15.6	8.7

Source: REITs—NAREIT Equity Index; Large Stocks—Standard & Poor's 500®; Small Stocks—Ibbotson U.S. Small Stock Series; Bonds—20-year U.S. Government Bond.

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2 Examining historical data, Ibbotson found that REIT returns were competitive with those of other types of investments.

Declining Equity REIT Correlation

Monthly correlation of REIT total returns to other types of investments

	1972—1981	1982—1991	1992—2001
Small Stocks	0.64	0.67	0.26
Large Stocks	0.74	0.74	0.30
LT Bonds	0.16	0.28	0.08

Source: REITs—NAREIT Equity Index; Small Stocks—Ibbotson U.S. Small Stock Series; Large Stocks—Standard & Poors 500®; LT Bonds—20-year U.S. Government Bond.

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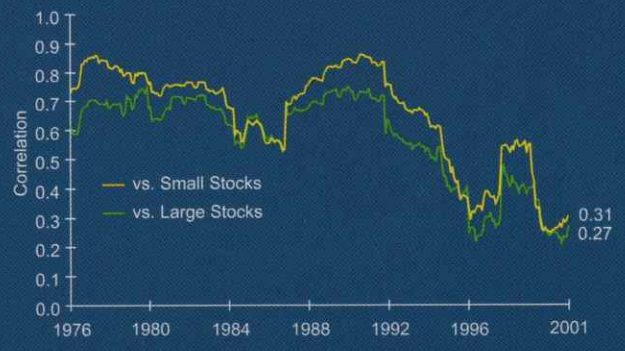
3 Most significantly, the correlation of REIT returns with those of other stocks and bonds declined appreciably over the last 30 years.

Declining Equity REIT Correlation

60 month rolling periods



Source: REITs—NAREIT Equity Index; Small Stocks—Ibbotson U.S. Small Stock Series; Large Stocks—Standard & Poor's 500®.

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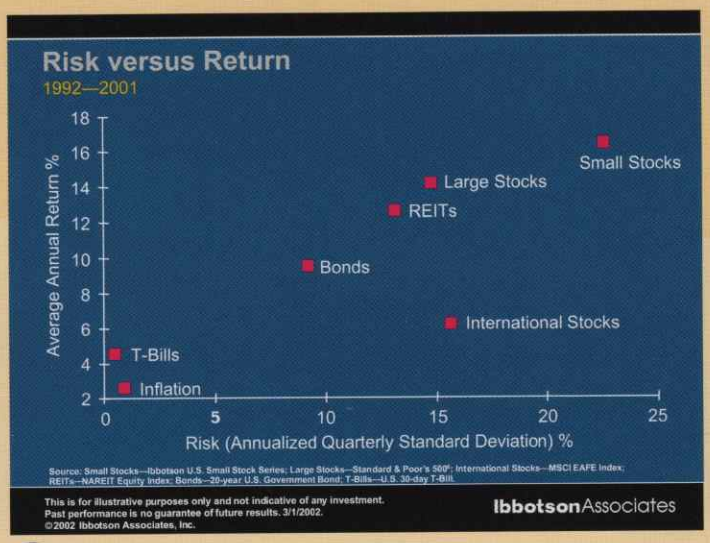
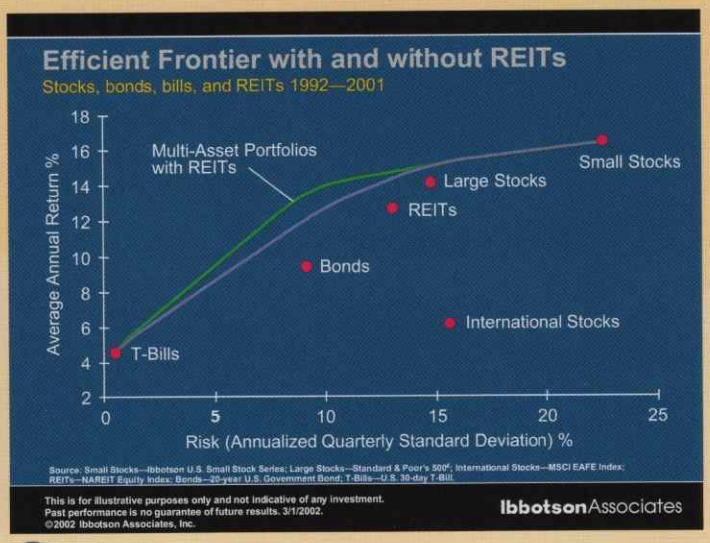
4 Over the last 10 years, REIT return correlations declined most dramatically with those of large and small-cap stocks.

Ibbotson Analysis

The Ibbotson analysis employs a basic asset allocation process to demonstrate that REITs can raise the return and lower the risk of a wide range of investment portfolios.



5 Since 1991, REITs' average annual returns and risk levels placed them among other types of stocks and fixed-income investments.



6 Using a mean-variance approach, Ibbotson showed that adding REIT stocks to a diversified portfolio raised the efficient frontier.

In the last decade, a large, liquid capital market for real estate stocks has developed.

Efficient Portfolios without REITs

Constrained optimization 1992—2001

	Portfolio					
	1*	2	3	4	5	6
Small Stocks	7%	12%	16%	18%	20%	20%
Large Stocks	0%	15%	27%	31%	41%	53%
Bonds	58%	52%	43%	48%	39%	27%
International Stocks	20%	6%	0%	0%	0%	0%
T-Bills	15%	15%	14%	3%	0%	0%
REITs	0%	0%	0%	0%	0%	0%
Expected Return	*8.5%*	*10.0%*	*11.1%*	*12.0%*	*12.7%*	*13.3%*
Standard Deviation	*6.4%*	*7.0%*	*8.0%*	*9.0%*	*10.0%*	*11.0%*

Note: *Due to constraints efficient portfolios below a standard deviation of 6.4% were unable to be achieved.
Max Constraints: Small Stocks 20%; Large Stocks 60%; International Stocks 20%; T-Bills 15%; REITs 0%. Min ConstraintsBonds 5%.
Source: Small Stocks—Ibbotson U.S. Small Stock Series; Large Stocks—Standard & Poors 500®; Bonds—20-year U.S. Government Bond; International Stocks—MSCI EAFE Index; T-Bills—U.S. 30-day T-Bill; REITs—NAREIT Equity Index.

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7 Ibbotson presents efficient portfolios without REIT allocations; note the increase in portfolio annual returns as REIT allocations are added in the following slides.

Efficient Portfolios Including REITs

Constrained optimization 1992—2001

	Portfolio					
	1	2	3	4	5	6
Small Stocks	7%	10%	13%	16%	20%	20%
Large Stocks	6%	24%	31%	36%	44%	55%
Bonds	46%	40%	38%	38%	26%	15%
International Stocks	16%	1%	0%	0%	0%	0%
T-Bills	15%	15%	8%	0%	0%	0%
REITs	10%	10%	10%	10%	10%	10%
Expected Return	*9.3%*	*10.8%*	*11.7%*	*12.6%*	*13.2%*	*13.7%*
Standard Deviation	*6.0%*	*7.0%*	*8.0%*	*9.0%*	*10.0%*	*11.0%*

Note:Max Constraints—Small Stocks 20%; Large Stocks 60%; International Stocks 20%; T-Bills 15%; REITs 10%. Min Constraints—Bonds 5%.
Source: Small Stocks—Ibbotson U.S. Small Stock Series; Large Stocks—Standard & Poors 500®; Bonds—20-year U.S. Government Bond; International Stocks—MSCI EAFE Index; T-Bills—U.S. 30-day T-Bill; REITs—NAREIT Equity Index.

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8 Where REITs are constrained to either a 10 percent or 20 percent maximum allocation, the asset allocation model uses REITs to build the most efficient portfolios and the portfolio return increases significantly.

Ibbotson Analysis

Efficient Portfolios Including REITs

Constrained optimization 1992—2001

	Portfolio 1	2	3	4	5	6
Small Stocks	5%	8%	11%	15%	18%	20%
Large Stocks	14%	29%	33%	40%	47%	56%
Bonds	34%	28%	32%	25%	14%	5%
International Stocks	11%	0%	0%	0%	0%	0%
T-Bills	15%	15%	4%	0%	0%	0%
REITs	20%	20%	20%	20%	20%	19%
Expected Return	***10.0%***	***11.3%***	***12.2%***	***13.0%***	***13.6%***	***14.1%***
Standard Deviation	***6.0%***	***7.0%***	***8.0%***	***9.0%***	***10.0%***	***11.0%***

Note: Max Constraints—Small Stocks 20%; Large Stocks 60%; International Stocks 20%; T-Bills 15%; REITs 20%. Min Constraints Bonds 5%.
Source: Small Stocks—Ibbotson U.S. Small Stock Series; Large Stocks—Standard & Poors 500©; Bonds—20-year U.S. Government Bond; International Stocks—MSCI EAFE Index; T-Bills—U.S. 30-day T-Bill; REITs—NAREIT Equity Index.

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9 No matter what allocation to REIT stocks investors may feel comfortable making, it should be more than zero. Without REITs, investors are not earning as high a return as they could be for the level of risk they are accepting in their portfolios.

Efficient Portfolios Performance Summary

Expected return per level of standard deviation 1992—2001

	Portfolio Expected Returns 1	2	3	4	5	6
Without REITs	8.5%*	10.0%	11.1%	12.0%	12.7%	13.3%
10% REIT Constraint	9.3%	10.8%	11.7%	12.6%	13.2%	13.7%
20% REIT Constraint	10.0%	11.3%	12.2%	13.0%	13.6%	14.1%
Standard Deviation	6.0%	7.0%	8.0%	9.0%	10.0%	11.0%

Note: *Std Dev. of Constrained Portfolio without REITs equals 6.4% - the lowest risk level on efficient frontier due to constrained analysis.
Source: Small Stocks Ibbotson U.S. Small Stock Series; Large Stocks Standard & Poors 500©; Bonds 20-year U.S. Government Bond; International Stocks MSCI EAFE Index; T-Bills U.S. 30-day T-Bill; REITs NAREIT Equity Index.

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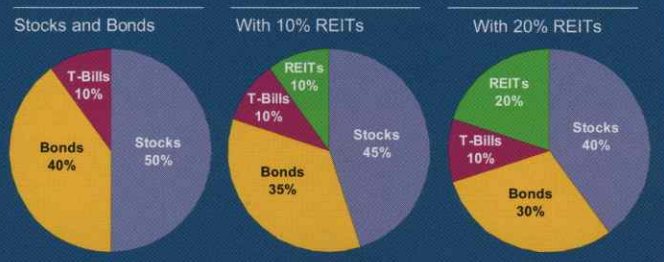
10 The performance summary highlights the significant increase in portfolio returns when REITs are added to diversified portfolios. In some portfolios, annual returns increase more than a full percentage point when REITs are added.

To graphically demonstrate the benefits of investing in REITs, Ibbotson created sample portfolios of stocks and/or bonds and used various allocations to REITs to measure the effect upon the portfolios' overall return and risk.

Diversify to Reduce Risk or Increase Return

Stock and bond investors 1972—2001



	Stocks and Bonds	With 10% REITs	With 20% REITs
Return	11.3%	11.5%	11.7%
Risk	10.9%	10.5%	10.2%

Source: Large Stocks—Standard & Poors 500©; Bonds—20-year U.S. Government Bond; T-Bills—U.S. 30-Day T-Bill; REITs—NAREIT Equity Index

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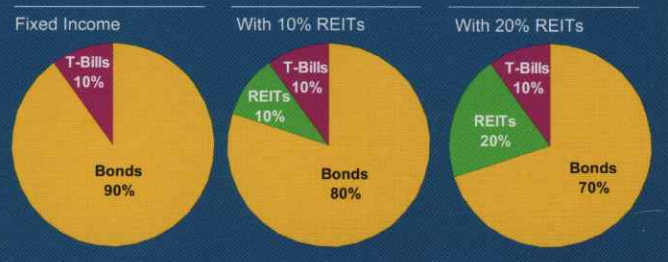
11 As can be seen in these two examples, investing either 10 percent or 20 percent of each portfolio in REITs increases the total return and lowers the overall risk for both equity and fixed income investors.

Diversify to Reduce Risk or Increase Return

Fixed income investors 1972—2001



	Fixed Income	With 10% REITs	With 20% REITs
Return	9.3%	9.7%	10.1%
Risk	10.6%	9.9%	9.5%

Source: Bonds—20-year U.S. Government Bond; T-Bills—U.S. 30-Day T-Bill; REITs—NAREIT Equity Index

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12 Both equity and fixed income investors can improve their long-term investment returns by adding real estate stocks to their investment portfolios.

Ibbotson's Conclusions:

- REITs offer an attractive risk/reward trade-off
- Correlations of REIT returns with other investments have declined over the last 30 years
- REITs may boost return or reduce risk when added to a diversified portfolio
- REITs are worth investigating as an addition to many types of portfolios

Ibbotson Analysis

REITs have become a major factor in the U.S. commercial real estate industry over the last 10 years. Today, some of the largest, most successful real estate companies operate as REITs and trade on the major stock exchanges. They offer all types of investors access to the economic returns of commercial real estate. Below are some basic attributes of the industry today and investment performance characteristics of real estate stocks historically.

Real Estate Stocks in 2002

As of December 31, 2001

- 182 companies in the NAREIT Index
- 144 companies trade on the NYSE
- Total equity capitalization of $165 billion
- Over $285 billion of commercial real estate owned
- Represents 10-15 percent of U.S. institutional-quality real estate
- Largest REIT = $12.5 billion

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(13) Over the last 10 years, REITs have become a major force in the U.S. commercial real estate industry.

Investment Performance Characteristics

- Stock returns are composed of a high level of current income and moderate, long-term price appreciation
- Dividend yields average 6.5 percent, producing a predictable, reliable cash flow
- Dividend growth has consistently outpaced inflation
- Price appreciation has tracked changes in CPI
- Competitive long-term rates of return

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(14) The special investment characteristics of real estate provide REIT investors with returns that complement the returns from other stocks and bonds.

Consistent Income Returns

NAREIT Equity REIT annual returns 1982—2001

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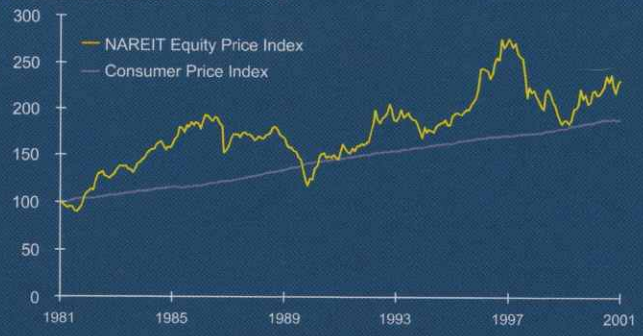
(15) Over the last 20 years, approximately 8.5 percentage points of the 12.8 percent compound annual total return of the NAREIT Equity REIT index came from dividends, producing a high level of predictable and reliable income through all market conditions.

Equity REIT Price Index versus CPI

Monthly, 1982—2001

Indexed at December 1981 = 100.0



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(16) The balance of the total return from these stocks came from moderate, long-term growth in share prices. That growth has tracked the CPI over the last 20 years, protecting shareholder's capital from the ravages of inflation.

Today, investors have a new source of portfolio diversification available to them. From conservative fixed income investors seeking to increase their income while protecting themselves from the corrosive effects of future inflation, to stock and bond investors seeking to diversify away the volatility of a concentrated portfolio, REITs offer such investors a new way to accomplish an age-old investment goal: "How can I increase my return without taking on more overall risk?"

REITs and publicly traded real estate stocks make it possible for anyone and everyone to invest in large-scale, income-producing commercial real estate.

Today, the stocks of public real estate companies provide an additional investment choice for those investors who understand the benefits of diversification and seek to boost their portfolios' long-term returns.

The complete results of the Ibbotson analysis are contained in a PowerPoint™ presentation consisting of 43 slides and include a basic review of the REIT industry today, the investment characteristics of real estate stocks and the asset allocation analysis and conclusions. The presentation is available from Ibbotson Associates at their web site, www.ibbotson.com.

For more information on the REIT and public real estate industry, visit the NAREIT web site, www.nareit.com.

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